



Dynamics 365



Sub-Contractor

Sub-Contracting Item In Production Control In D365

Sub-Contracting Operations

Sub-Contracting SFG Or FG



Subcontracting an Item Process Overview

✦ Purpose:

To automate the **Purchase Order (PO)** creation for items being subcontracted during the production process.

Key Points:

- A **Purchase Order** is automatically generated based on the **production order estimation**.
- After **Goods Receipt Note (GRN)** is closed (material received from subcontractor), the material becomes available for the **production order**.
- If the **Bill of Materials (BoM)** has lines with the **line type set to "Vendor"**, the system creates POs for:
 - Materials
 - Subcontracted operation services
- These are linked (pegged) directly to the **production order**.

✓ Steps (Workflow):

1. **BoM line Type** – Must be set as **Vendor** for subcontracting.
2. **Production Order Estimate** – Used to calculate and trigger the PO.
3. **Auto PO Creation** – System generates a PO automatically.
4. **PR & Picking List Posting** – Final steps to receive and use material in production.



> Workspaces

- Periodic tasks

Products

> Setup

Products

Product variants

Products by category

Released products

Released products by category

Released product variants

Product configuration models

- Bills of materials and formulas

> Cases

- > Lean manufacturing

➤ Costing

➤ Inquiries and reports

Manage costs	Commerce	General	Setup
--------------	----------	---------	-------

Product change

Process

- Associate with case
- Add to case log

Report as finished
Max. report as finished

Product service type Product dimension ... Product lifecycle state

Not specified

Not specified

Not specified

Not specified

Not specified

Not specified

Not specified

Not specified

Not specified

Not specified

Not specified

Config

← Edit + New Delete

Product Purchase Sell Manage inventory **Engineer** Plan Manage projects Manage costs Commerce General Setup

View
Production orders
Batch orders

Route
Kanbans

BOM
BOM versions
Active BOM versions

Designer
Where-used

Configuration
Configuration route
Configuration - tree
Maintain configurations

Formula
Formula versions
Designer
Where-used

Product change
Create case
All cases

Associate with case
Add to case log

Process
Report as finished
Max. report as finished

Released product details

Standard view

Filter

Item number	Product name	Search name	Product type	Product subtype	Product service type	Product dimension ...	Product lifecycle state
2025	SKY BAGS	SKYBAGS	Item	Product	Not specified		
2580	Jeans	Jeans	Item	Product master	Not specified	ColorSize	
4500	Real Me Tab	RealMeTab	Item	Product master	Not specified	ColorSize	
CLR300	Color Additive	Color Additive	Item	Product	Not specified		
FG-Shirt-01	FG-Shirt-01	FGshirt01	Item	Product	Not specified		
FRAG	Fragrance Oil	FragranceOil	Item	Product	Not specified		
HLW-000	Pumpkin Halloween	PumpkinHalloween	Item	Product master	Not specified	Config	
HLW-01	Muffler	Muffler	Item	Product	Not specified		
HLW-02	Harry Glasses	Harry	Item	Product	Not specified		
HLW-03	Umbrella	Umbrella	Item	Product	Not specified		
HLW-04	Boots	Boots	Item	Product	Not specified		

← ≡ ✎ Edit + New 🗑️ Delete

Product Purchase Sell Manage inventory **Engineer** Plan Manage projects Manage costs Commerce General 🔍 ⋮

View

Production orders
Batch orders

Route
Kanbans

BOM

BOM versions
Active BOM versions

Designer
Where-used

Configuration

Configuration route
Configuration - tree
Maintain configurations

Formula

Formula versions
Designer
Where-used

Product change

Create case
All cases

Associate with case
Add to case log

Process

Report as finished
Max. report as finished

[Released product details](#) | Standard view ▾

FG-Shirt-01 : FG-Shirt-01

General FG-Shirt-01 ⬆️

IDENTIFICATION	FURTHER IDENTIFICATION	ADMINISTRATION	Counting reason code policy	Service accounting codes
Product type	Product name	Storage dimension group		
Item	FG-Shirt-01	SiteWH	Product lifecycle state	Exempt
Product subtype	Search name	Tracking dimension group		☒ No
Product	FGShirt01	None	Advanced notes group	Non-GST
Product service type	Description	Item model group		☒ No
Not specified		FIFO	GST	TAX RATE TYPE
Item number		Reservation hierarchy	HSN codes	Tax rate type
FG-Shirt-01				
Product number				
FG-Shirt-01				

Purchase ea -- 0.00 ⬆️

Maintain BOM
Copy BOM
Bills of materials
Check

Product change
Create case Associate with case
All cases Add to case log

- Filter
- FG-Shirt-01
 - FG-Shirt-BOM 001
 - FG-Shirt-01

BOM versions | FG-Shirt-01 : FGShirt01 | Standard view

FG-Shirt-01 : FG-Shirt-BOM 001

BOM version FG-Shirt-01 FG-Shirt-BOM 001

IDENTIFICATION
BOM
FG-Shirt-01
Name
FG-Shirt-BOM 001

PRODUCT REFERENCE
Item number
FG-Shirt-01
Product name
FG-Shirt-01

INVENTORY DIMENSIONS
Site
Site-2

VALIDITY
From qty.
1.00

From date
To date

STATUS
Active
Yes

Approved
Yes
Approved by
000020

Bill of materials lines

+ New Delete Edit Where-used BOM versions Display dimensions Product change

Item number	Configuration	Size	Color	Style	Warehouse	Resource c...	Quantity
FG-Shirt-01							1.0000

Bill of materials Options

Maintain

Configuration

Product change

Designer Approval

Check Copy

Configuration rules

Create case All cases

Associate with case Add to case log

Bills of materials | FG-Shirt-01 : FG-Shirt-BOM 001 | Standard view

FG-Shirt-01 : FG-Shirt-BOM 001

Lines Header

Line details

General Setup Step consumption Dimension

IDENTIFICATION

Configuration group

Item number

Position

SUBCONTRACTOR

Vendor account

BOM

Line type

Calculation

Sub-BOM or formula

Subroute

PROJECT

Set subproduction to Consumed

VALID

From

To

OPERATION

Oper. No.

End

← ≡ Save + New Delete

Bill of materials Options

Maintain

Designer Check Approval Copy

Configuration

Configuration rules

Product change

Create case All cases Associate with case Add to case log

Bills of materials | FG-Shirt-01 : FG-Shirt-BOM 001 | Standard view

FG-Shirt-01 : FG-Shirt-BOM 001

Lines Header

+ New Delete Sorting Where-used BOM versions Configuration Display dimensions Product change

	Item number	Configuration	Size	Color	Style	Warehouse
	RM-Fabric					
✓	RM-Thread					
	RM					

Line details

General Setup Step consumption Dimension

IDENTIFICATION SUBCONTRACTOR PROJECT

Standard view

Product information

Details Engineer Inventory Purchase Plan

IDENTIFICATION

Product number Description
RM-Thread

Product name
RM-Thread

Search name
RMThread

COMPANY-SPECIFIC IDENTIFICATION

Item number
RM-Thread

Search name
RMThread

CLASSIFICATIONS AND GROUPS

Product type Default order type
Item Purchase order

Item group Coverage group
RAW

Product lifecycle state

View

Purchase prices

Line discount

Multiline discount

Total discount

Trade agreements

View trade agreements

Create trade agreements

Royalty

Approved vendor

Setup

Approved vendors

Effective period

Purchase order

Supply overview

Open purchase order lines

Period statistics

Invoice matching

Matching policy

Price tolerances

Related information

External item description

Supplementary purchase item

You can set up the vendor here for the items

Released product details | Standard view

RM-Thread : RM-Thread

General RM-Thread

IDENTIFICATION	FURTHER IDENTIFICATION	ADMINISTRATION	Counting reason code policy	Service accounting codes
Product type	Product name	Storage dimension group		
Item	RM-Thread	SiteWH	Product lifecycle state	Exempt
Product subtype	Search name	Tracking dimension group		No
Product	RMThread	None	Advanced notes group	Non-GST
Product service type	Description	Item model group		No
Not specified		FIFO	GST	TAX RATE TYPE
Item number		Reservation hierarchy	HSN codes	Tax rate type
RM-Thread				
Product number				
RM-Thread				

Approved vendor list | RM-Thread : RMThread

Standard view

PRODUCTS

Item number: RM-Thread Product name: RM-Thread

Vendor	Effective	Expiration
M1-000002	6/5/2025	Never

Add the vendor to the item only
vendor can be assign to the BOM

- General ledger
- Human resources
- Inventory management
- Leave and absence
- Master planning
- Organization and administration
- Payroll
- Procurement and sourcing
- Product information management
- Production control**
- Project management and accounting
- Questionnaire
- Rebate management
- Retail and Commerce
- Sales and marketing
- Service management

- Expand all Collapse ...
- > Workspaces
 - Production orders
 - All production orders
 - Planned production orders
 - Delayed production orders
 - Current production jobs
 - Productions scheduled
 - Productions started
 - Productions released
 - Consolidated batch orders
 - > Inquiries and reports
 - > Periodic tasks
 - > Setup
- > Operations
 - All routes
 - Subcontracted work
 - > Kanban
 - > Manufacturing execution
 - > Adjustments

Table with 1 column and 1 row visible. The row contains the text "proved".

Display
Dimensions

Requirements
Net requirements
Explosion
Multilevel pegging

Journals
Picking list
Route card
Job card

Reported as finished
All

Related information
Committed cost
Capacity reservations

Compliance
Product safety data sheet

All production orders

Standard view

Filter

Produc...	Item number	Site	Warehouse	CW quantity	CW unit	Quantity	Report remainder as finished	Delivery	Status	Rem. :
M1-000134	P-000020	Site -1	WH-1			1.00		7/20/2025	Ended	Ende
M1-000132	P-000020	Site -1	WH-1			1.00		7/20/2025	Ended	Ende
M1-000131	P-000020	Site -1	WH-1			1.00		7/20/2025	Ended	Ende
M1-000121	P-000020	Site -1	WH-1			1.00		7/18/2025	Ended	Ende
M1-000110	P-000020	Site -1	WH-1			1.00		7/17/2025	Ended	Ende
M1-000109	P-000020	Site -1	WH-1			1.00		7/17/2025	Ended	Ende
M1-000108	P-000020	Site -1	WH-1			1.00		7/17/2025	Ended	Ende
M1-000107	P-000020	Site -1	WH-1			1.00		7/17/2025	Ended	Ende
M1-000105	P-000020	Site -1	WH-1			1.00		7/17/2025	Ended	Ende
M1-000102	P-000020	Site -1	WH-1			1.00		7/17/2025	Ended	Ende
M1-000101	P-000020	Site -1	WH-1			1.00		7/17/2025	Ended	Ende

Finance and Operations

Search for a page

← Delete

New production order

New batch order

Production order

Schedule

Warehouse

View

Manage costs

Display

Requirements

Journals

Related information

Compliance

Dimensions

Net requirements
Explosion
Multilevel pegging

Picking list
Route card
Job card

Reported as finished
All

Committed cost
Capacity reservations

Product safety data sheet

All production orders

Standard view

Filter

Produc...	Item number	Site	Warehouse	CW quantity	CW unit	Quantity	Re
M1-000134	P-000020	Site -1	WH-1			1.00	
M1-000132	P-000020	Site -1	WH-1			1.00	
M1-000131	P-000020	Site -1	WH-1			1.00	
M1-000121	P-000020	Site -1	WH-1			1.00	
M1-000110	P-000020	Site -1	WH-1			1.00	
M1-000109	P-000020	Site -1	WH-1			1.00	
M1-000108	P-000020	Site -1	WH-1			1.00	
M1-000107	P-000020	Site -1	WH-1			1.00	
M1-000105	P-000020	Site -1	WH-1			1.00	
M1-000102	P-000020	Site -1	WH-1			1.00	
M1-000101	P-000020	Site -1	WH-1			1.00	

Standard view

Create production order

IDENTIFICATION

GROUPINGS

Production

M1-000135

Item number

FG-Shirt-01

Name

FG-Shirt-01

Pool

Production group

SETUP

Ledger

Item and resource

INVENTORY DIMENSIONS

Site

Site-2

Warehouse

WH-2

Reservation

Estimation

Release to warehouse

Allow partial reservation

PRODUCTION

Type

Standard

Quantity

1.00

Delivery

7/20/2025

Time

10:00 AM

PROJECT

Project ID

Activity number

Posting method

None

FINISHED ITEM

Category

Display
Dimensions

Requirements
Net requirements
Explosion
Multilevel pegging

Journals
Picking list
Route card
Job card

Reported as finished
All

Related information
Committed cost
Capacity reservations

Compliance
Product safety data sheet

All production orders

Standard view

Filter

Produc...	Item number	Site	Warehouse	CW quantity	CW unit	Quantity	Report remainder as finished	Delivery	Status	Rem. :
M1-000135	FG-Shirt-01	Site-2	WH-2			1.00	1.00	7/20/2025	Created	
M1-000134	P-000020	Site -1	WH-1			1.00		7/20/2025	Ended	Ende
M1-000132	P-000020	Site -1	WH-1			1.00		7/20/2025	Ended	Ende
M1-000131	P-000020	Site -1	WH-1			1.00		7/20/2025	Ended	Ende
M1-000121	P-000020	Site -1	WH-1			1.00		7/18/2025	Ended	Ende
M1-000110	P-000020	Site -1	WH-1			1.00		7/17/2025	Ended	Ende
M1-000109	P-000020	Site -1	WH-1			1.00		7/17/2025	Ended	Ende
M1-000108	P-000020	Site -1	WH-1			1.00		7/17/2025	Ended	Ende
M1-000107	P-000020	Site -1	WH-1			1.00		7/17/2025	Ended	Ende
M1-000105	P-000020	Site -1	WH-1			1.00		7/17/2025	Ended	Ende
M1-000102	P-000020	Site -1	WH-1			1.00		7/17/2025	Ended	Ende

← ≡ Edit Delete New production order New batch order Tax information **Production order** Schedule Warehouse View Manage costs Options

Maintain Split

Process Report as finished Log
End Reset status

Inventory Transactions Trace
On-hand Update registrations
Lot

Order details BOM Route
Formula All jobs
Cost View progress

Consolidated batch order Consolidated on-hand
Add to
Remove from

Cases Create case
View cases

Production order (details) | Standard view **Production**

M1-000135

General M1-000135 FG-Shirt-01 FG-Shirt-01

IDENTIFICATION	PRODUCTION	Time	Scheduling status	DATE SCHEDULED
Production	Type	10:00 AM		Start date
M1-000135	Standard	Planning priority	Remain status	End date
Item number	Quantity	0.00		
FG-Shirt-01	1.00	Color	GROUPINGS	Start time
Name	Delivery	128	Pool	12:00 AM
FG-Shirt-01	7/20/2025	STATUS	Production group	End time
		Status		12:00 AM
		Created		

Setup FG-Shirt-01 M1-000011

BOM/route date	ROUTE	SCHEDULING	OTHER	MEASUREMENT
----------------	-------	------------	-------	-------------

← ≡ Edit Delete New production order New batch order Tax information **Production order** Schedule Warehouse View Manage costs Options

Maintain

Process

Inventory

Order details

Consolidated batch order

Cases

Split

Estimate
Release
Start

Report as finished
End

Log
Reset status

Transactions
On-hand
Lot

Trace
Update registrations

BOM
Formula
Cost

Route
All jobs
View progress

Consolidated on-hand
Add to
Remove from

Create case
View cases

Production order (details) | Standard view **Production**

M1-000135

General M1-000135 FG-Shirt-01 FG-Shirt-01

IDENTIFICATION	PRODUCTION	Time	Scheduling status	DATE SCHEDULED
Production	Type	10:00 AM		Start date
M1-000135	Standard	Planning priority	Remain status	
Item number	Quantity	0.00	Material consumption	End date
FG-Shirt-01	1.00	Color	GROUPINGS	
Name	Delivery	128	Pool	Start time
FG-Shirt-01	7/20/2025	STATUS	Production group	12:00 AM
		Status		End time
		Estimated		12:00 AM

Setup FG-Shirt-01 M1-000011

BOM/route date	ROUTE	SCHEDULING	OTHER	MEASUREMENT
----------------	-------	------------	-------	-------------

Personalize
Always open for editing
Personalize this page

Page options
Security diagnostics
Advanced filter or sort
Record info
Go to

Share
Create a custom alert
Manage my alerts

BOM | M1-000135 : FG-Shirt-01

Standard view

Filter

Item number	Site	Warehouse	Quantity	Per series	Unit	It...	Product name	Estimated	Remaining...	Started	Released q...	Oper. No.
RM-Fabric	Site-2	WH-2	1.0000	1	ea		RM-Fabric	1.0000	1.00			10
RM-Thread	Site-2	WH-2	2.0000	1	ea		RM-Thread	2.0000	2.00			10
RM	Site-2	WH-2	6.0000	1	ea		Button	6.0000	6.00			10

Above Two
Part Of The
BOM Another
One Is Vendor
Sub
Contracting

← Edit + New Delete Copy Inventory Ingredients Inquiries Options

Personalize

Page options

Share

Always open for editing
Personalize this page

Security diagnostics
Advanced filter or sort

Record info
Go to

Create a custom alert
Manage my alerts

BOM | M1-000135 : FG-Shirt-01

Standard view

Filter

Product name	Estimated	Remaining...	Started	Released q...	Oper. No.	Raw material date	Raw material time	Reference type	Number	Vendor account
-Fabric	1.0000	1.00			10	7/20/2025	10:00 AM			
✓ -Thread	2.0000	2.00			10	7/20/2025	10:00 AM	Purchase order	M1-000451	M1-000002
ton	6.0000	6.00			10	7/20/2025	10:00 AM			

Here you can see the purchase order has been created by the BOM for the vendor

Save New Delete

Purchase order Purchase Manage Receive Invoice Retail Warehouse Transportation General Customs Options

Create

Charges

Tax

Calculate

Prepay

Generate

Actions

Accounting

Journals

Credit note

Maintain charges
Allocate charges

Tax document

Multiline discount
Total discount

Supplementary items
Tiered charges

Prepayment
Remove prepayment

Purchase inquiry
Confirmation
Pro forma confirmation

Confirm
Finalize

Distribute amounts
View distributions

Purchase inquiry
Purchase order confirmations

Purchase order | Standard view

M1-000451 : M1-000002 - Shaik Abdul Hameed

Open order Approved

Lines Header

Purchase order lines

+ Add line + Add lines Add products Remove Purchase order line Financials Inventory Product and supply Update line Tax information Warehouse

		T...	Budget ch...	Line number	Item number	Product name	Procurement category	Variant number	CW quantity	CW unit	Quantity	Unit	Unit pri
				1	RM-Thread	RM-Thread					2.00	ea	

Line details

General Setup Address Product Delivery Picking Price and discount Project Product packages Variants Foreign trade Fixed assets Financial dimensions Loads